

A NEW START

➤ All listed start-ups are seeing revenue growth, with Policybazaar and Zomato standing out for the most substantial increase in total income

➤ Nykaa is the only listed start-up with a full-year profit, while Zomato has seen two consecutive quarters of profit now

Company	2023/ 2022 Rank	Average m-cap* (₹ crore)	Total in- come (₹ crore)	PAT/Loss (₹ crore)	ROE (%)
Zomato	87/71	58,406 (-19.1)	7,804 (65.8)	-971	-5.8
One97 Com- munications	128/89	43,783 (-20.1)	8,395 (59.5)	-1,777	-14.9
FSN E-Comme- rce Ventures (Nykaa)	130/64	42,620 (-45.1)	5,174 (36.0)	25	1.8
Delhivery	184/122	27,383 (-33.0)	7,530 (7.0)	-1,008	-14.2
PB Fintech	193/151	25,951 (-21.1)	2,817 (81.7)	-488	-10.1

*FROM OCTOBER 1, 2022, TO SEPTEMBER 30, 2023; TOTAL INCOME, PAT AND ROE FOR FY23; FIGURES IN BRACKETS ARE PERCENTAGE CHANGE YOY; RESULTS ARE ON A CONSOLIDATED BASIS **SOURCE** ACE EQUITY

Today, sector-aware investors want established business ideas, strong revenues, and a clear path to profitability, raising the public market threshold for start-ups, experts say

ups, such as Swiggy, OYO, Lenskart, and Ola Electric.

Investors, too, are showing renewed enthusiasm for start-up IPOs in 2023, as evidenced by the substantial subscription rates for new-age technology listings such as ideaForge (106x), Yatra (1.6x), Yudiz (4.75x), and Zaggie (12x).

The pull of IPOs for fundraising has altered how start-ups function, shifting from pure growth to establishing core business fundamentals. Plus, start-ups realise that going public means they'll face some tough questions.

"When the first batch of internet companies got listed, Indian investors thought that this is the internet moment for India, and let me take a risk and play this cycle—from loss-making to break-even to profit to free cash flow—and make massive wealth. Investors now know the pitfalls of these stocks, and they are going to be very par-

ticular about those pain points. For the second wave of internet companies, the job is tougher because they have to be ready with a concrete plan on Ebitda break-even, cash flow positivity and a detailed capital allocation strategy," says Aditya Kondawar, Partner & Vice President at wealth management firm Complete Circle Capital.

According to Manu Rikhye, Partner at investment firm Merak Ventures, the public market bar is higher for start-ups today as the sector-aware investors are looking for proven business models, strong revenues, and a clear path to profitability. "For start-ups aiming for an IPO, the goalpost moves beyond 'readiness' to being strategically ahead," says Rikhye.

He adds that in this environment, start-ups need to transition from being market players to market leaders. "It means having a solid foundation, clear governance, and consistent growth," he adds.

Mahavir Lunawat, Founder of Pantomath Financial Services Group, emphasises the need for having separate metrics that can help investors understand the sustainability and prospects of growth-stage start-ups entering the IPO market, beyond just valuation. "If policymakers can think of drawing sustainability metrics for such businesses which are far from break-even, that will be very useful for investors," he says.

Pai says the strong bullish sentiment on India will hold quality tech companies in good stead, and 2024 "should see a record number of tech IPOs come to the market".

As the winds of change sweep through, the imminent surge of well-governed start-ups entering the public market is poised to ignite the next chapter in India's bustling start-up ecosystem. **BT**

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